

Varun Beverages Limited

Business Overview, Industry Analysis & Discounted Cash Flow Valuation

NSE TICKER

VBL

SECTOR

FMCG - Beverages

MARKET PRICE (03-SEP-2026)

₹407.00

DCF INTRINSIC VALUE

₹161.66

IMPLIED VIEW

Overvalued

WACC

14.3%

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Report Date

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Currency / Units

₹ Indian Rupees, ₹ Crore

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1. Executive Summary

Varun Beverages Limited (VBL) is the largest franchisee of PepsiCo in the world outside the United States, and the primary route through which PepsiCo's beverage portfolio reaches consumers across India and a growing footprint of international markets. The company has compounded revenue at roughly 20% annually over the last decade, aided by volume growth, geographic expansion, and a widening product mix that now spans carbonated soft drinks, juices, energy drinks and packaged water. This report summarizes VBL's business model, the structural drivers of the Indian and international beverage industry in which it operates, and the output of a ten-year discounted cash flow (DCF) model built to estimate the company's intrinsic value per share.

The DCF, built off FY25 (calendar year 2025) financials and projected through FY35E, derives an enterprise value of approximately **₹54,701 crore** and an equity value of approximately **₹54,675 crore**, implying an intrinsic value of roughly **₹161.7 per share**. Against the market price of ₹407.0 as of 3 September 2026, this implies the stock is trading at a significant premium to the model's estimate of fair value — a margin of safety of approximately **–152%** (i.e., the market price exceeds intrinsic value by that magnitude). This conclusion should be read alongside the sensitivity of DCF outputs to the discount rate and terminal growth assumptions discussed in Section 6, and against the quality and duration of VBL's underlying franchise discussed in Sections 2 and 7.

Metric	Value
FY25 Net Sales	₹21,685 Cr
FY25 EBITDA Margin	23.4%
10-Year Sales CAGR	20.0%
5-Year Sales CAGR	27.0%
WACC	14.30%
Terminal Growth Rate	5.0%
Enterprise Value (DCF)	₹54,701 Cr
Equity Value (DCF)	₹54,675 Cr
Intrinsic Value / Share	₹161.7
Market Price (03-Sep-2026)	₹407.0
Margin of Safety	(151.8)%

Source: Company DCF model (Bhavook Wadhwa), built from VBL historical financial statements and analyst assumptions. See Section 5 for methodology.

2. Business Overview

2.1 Company Snapshot

Incorporated in 1995 and promoted by the Jaipuria family (RJ Corp), Varun Beverages began as a regional bottler and has grown into PepsiCo's largest bottling partner outside the United States. VBL does not own the PepsiCo brands it produces; instead, it operates under long-dated Exclusive Bottling Agreements (EBAs) that grant it the right to manufacture, sell and distribute PepsiCo-owned beverages within defined territories. In May 2026, VBL and PepsiCo extended the Indian EBA to 30 April 2049 (from 2039 previously), and simultaneously removed a clause that had restricted VBL to operating solely as a special-purpose bottling vehicle — a change that gives the company greater flexibility to diversify beyond its core franchise over time. As of the current agreement, VBL holds PepsiCo franchise rights across roughly 26–27 states and 6–7 union territories in India, and manufacturing or distribution rights in Nepal, Sri Lanka, Morocco, Zambia, Zimbabwe, South Africa, Lesotho, Eswatini, the Democratic Republic of Congo, Namibia, Botswana, Mozambique and Madagascar.

2.2 Operating Model

VBL's business model is best understood as full-stack beverage execution on PepsiCo's behalf. PepsiCo contributes global brands, beverage concentrate, and above-the-line (mass) marketing support. VBL, in turn, owns and operates the entire value chain beneath that: manufacturing (bottling and canning across a network of owned facilities), cold-chain and route-to-market distribution, retail execution (visi-coolers, merchandising, below-the-line marketing), and working capital and capex management. This division of labor allows VBL to capture the economics of scale and local market execution — procurement, logistics density, plant utilization — while relying on PepsiCo for brand equity and product innovation, an arrangement that has historically supported mid-20% EBITDA margins that are high for a contract manufacturer.

2.3 Product Portfolio

- **Carbonated soft drinks (CSD):** Pepsi, Pepsi Black, Mountain Dew, 7UP, Mirinda, Evervess, Duke's club soda — the largest single category by volume.
- **Juices & juice-based drinks:** Tropicana (100% and Delight), Slice, 7UP Nimbooz.
- **Energy & sports drinks:** Sting and Gatorade, a category that has scaled rapidly in India over the last five years.
- **Packaged water:** Aquafina, a lower-margin but high-volume category that improves distribution density.
- **Emerging categories:** low- and no-sugar variants, which management has indicated now account for a majority of consolidated sales volume, tracking a broader industry shift toward health-conscious formulations.

2.4 Geographic Diversification

Historically an India-concentrated business, VBL has used bolt-on acquisitions of PepsiCo's company-owned bottling operations (in South Asia and Africa) to build a second growth engine. International operations — spanning South Asia (Nepal, Sri Lanka), North Africa (Morocco) and Southern/Central Africa — have in recent periods grown faster than the domestic business, and management has continued to invest in these territories, including capital infusions into its South African subsidiary and pending agreements to add further African territories. This geographic diversification reduces VBL's exposure to any single monsoon season, currency, or regulatory regime, though it also introduces foreign-currency translation and country-specific operating risk that were less relevant when the business was purely domestic.

2.5 Capital Intensity and Working Capital

VBL's model is capital-intensive: bottling lines, glass and PET infrastructure, cold-chain assets (visi-coolers placed at retail points) and warehousing require sustained capex, which the DCF model assumes at 5–18% of sales across the forecast window, front-loaded during the higher-growth years as new capacity and territories are added and tapering as the business matures. Working capital is comparatively favorable for a manufacturer: distributor advances and a concentrated, high-turnover retail network have historically kept net working capital as a moderate share of sales, though this has drifted upward in the most recent fiscal years as the business scaled internationally.

3. Industry Overview

3.1 Structural Growth Runway

India's non-alcoholic beverage industry remains under-penetrated on a per-capita basis relative to both global peers and other emerging markets in the region — estimates place Indian per-capita soft-drink consumption at a small fraction of developed-market levels. This gap, combined with a young and urbanizing population, rising disposable incomes, and expanding rural electrification (which supports cold-chain retail), underpins industry expectations of durable double-digit volume and value growth for carbonated soft drinks and adjacent categories over the medium term, following a period of weather-related volatility in the most recent year.

3.2 Competitive Structure

The Indian beverage market is a duopoly-plus-fragmentation structure: PepsiCo (through VBL) and Coca-Cola (through Hindustan Coca-Cola Beverages and other bottlers) account for the large majority of branded carbonated soft-drink volume, alongside regional and local players that retain meaningful share in specific states, and packaged-water competitors including Bisleri, Kinley, and newer entrants. Post-GST simplification and the scale advantages of national distribution have gradually compressed the share of unbranded regional beverages, a tailwind for organized players such as VBL. Within bottled water specifically, aggressive new entrants and periodic price competition have pressured category economics, which is one reason VBL's mix skew toward CSD, juices and energy drinks matters for blended margins.

3.3 Category Trends

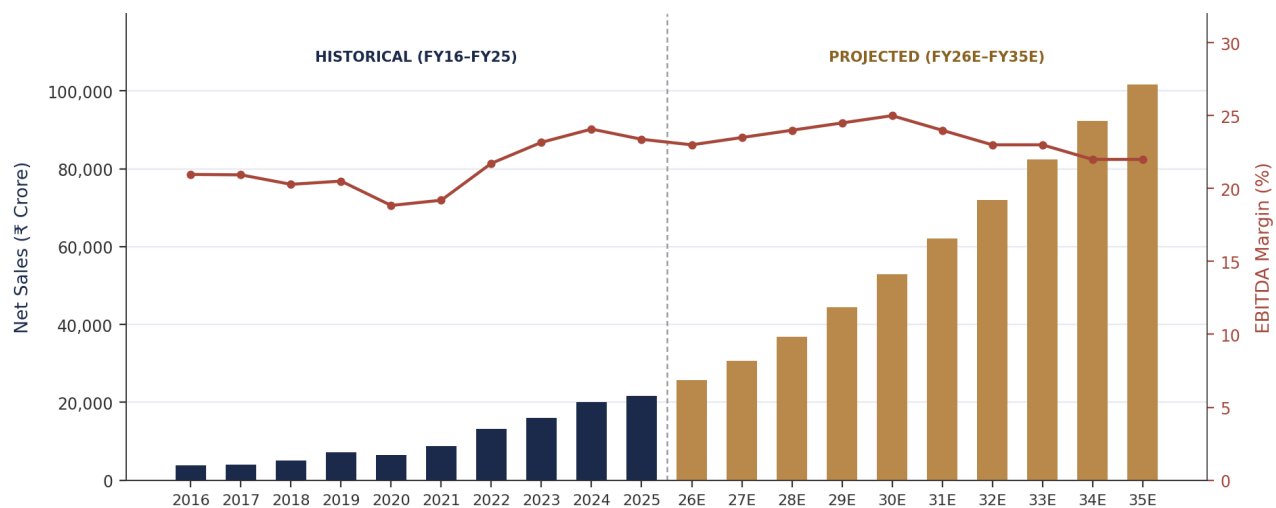
- **Health and wellness:** a structural shift toward low- and no-sugar formulations, and continued growth in bottled water and functional/energy categories, is reshaping product mix industry-wide.
- **Premiumization:** rising per-capita income is supporting demand for premium and niche beverage formats, alongside traditional mass-market CSD.
- **Channel evolution:** modern trade and e-commerce are growing distribution channels, though general trade (kirana stores) remains dominant and favors incumbents with deep last-mile distribution such as VBL.
- **Seasonality and weather sensitivity:** beverage demand in India is materially weather-linked (a cooler or wetter summer can meaningfully affect a single year's volume growth), which is a recurring source of quarter-to-quarter and year-to-year earnings volatility independent of the structural growth trend.

3.4 Regulatory and Input-Cost Considerations

Key swing factors for industry economics include sugar and PET resin prices (the principal raw material inputs), packaging regulation and extended producer responsibility requirements, state-level excise and distribution regulation, and evolving public-health policy around sugar-sweetened beverages, which has already begun to influence reformulation strategy across the industry. VBL's scale and vertically integrated manufacturing provide some insulation against these pressures relative to smaller regional bottlers, but they remain industry-wide variables that this valuation does not attempt to forecast with precision beyond the margin assumptions in Section 5.

4. Historical Financial Performance

VBL's revenue has compounded from approximately ₹3,861 crore in calendar year 2016 to ₹21,685 crore in calendar year 2025 — a roughly 20% ten-year CAGR — driven by a combination of organic volume growth, price/mix improvement, and inorganic expansion through the acquisition of PepsiCo's company-owned bottling territories in India and select international markets. EBITDA margin has expanded from roughly 21% in 2016 to 23.4% in 2025, reflecting operating leverage on a larger, more utilized manufacturing base, though margins have not been linear and dipped during periods of elevated input costs and lower-margin geographic mix.

Exhibit 1: Revenue Growth & EBITDA Margin Trajectory, FY16-FY35E

Source: Company DCF model. FY26E-FY35E figures reflect the analyst's projection assumptions (Section 5); historical figures from VBL consolidated financial statements.

₹ Crore	CY2023	CY2024	CY2025
Net Sales	16,043	20,008	21,685
EBITDA	3,717	4,816	5,070
EBITDA Margin	23.2%	24.1%	23.4%
EBIT	3,036	3,869	3,854
Net Profit (PAT)	2,113	2,607	2,780
Net Margin	13.2%	13.0%	12.8%
Return on Capital Employed	24.5%	19.9%	17.4%

Source: Company DCF model, Income Statement Working and Ratios worksheets.

Balance-sheet quality has strengthened materially over the past two fiscal years: reserves grew from ₹6,287 crore (CY2023) to ₹18,902 crore (CY2025), while gross borrowings declined from ₹5,431 crore to ₹2,508 crore over the same period, aided by a large equity raise in CY2024. The resulting capital structure is now overwhelmingly equity-funded — the DCF model's WACC calculation assigns roughly 98.8% weight to equity and 1.2% to debt — which lowers financial risk but also means the cost of capital is driven almost entirely by the (higher) cost of equity rather than by cheaper after-tax debt.

5. Valuation Methodology & Key Assumptions

The valuation applies a standard unlevered, two-stage discounted cash flow framework: an explicit ten-year forecast of unlevered free cash flow (FY26E-FY35E), discounted at the weighted average cost of capital, plus a terminal value computed on the final projected year's cash flow using the Gordon growth (perpetuity) method. The build proceeds from EBIT, adjusted for cash taxes, plus non-cash depreciation, less reinvestment in capital expenditure and net working capital.

5.1 Revenue, Margin and Reinvestment Assumptions

Driver	FY26E	FY28E	FY30E	FY33E	FY35E
Sales Growth	18.5%	20.0%	19.0%	14.5%	10.0%
EBITDA Margin	23.0%	24.0%	25.0%	23.0%	22.0%
Capex (% of Sales)	14.0%	17.0%	14.0%	9.0%	5.0%
Depreciation (% of Sales)	5.0%	5.5%	5.0%	4.5%	4.5%
Net Working Capital (% of Sales)	12.0%	9.0%	6.0%	4.5%	4.0%

Source: Company DCF model, Assumptions worksheet. Growth is assumed to decelerate from a peak of ~20.5% (FY29E) toward a terminal-adjacent 10% by FY35E as the business matures; EBITDA margin is assumed to peak at 25% (FY30E) before normalizing to 22% as international and lower-margin categories scale.

The revenue path assumes sales growth accelerates modestly through FY29E (peaking near 20.5%) before decelerating steadily to 10% by FY35E, consistent with a maturing growth profile as VBL's international expansion and market-share gains moderate. EBITDA margin is assumed to expand to a peak of 25% in FY30E — reflecting operating leverage and mix improvement — before normalizing to 22% as the business matures and category mix broadens. Capital expenditure is assumed to be front-loaded (peaking at 18% of sales in FY29E to fund continued capacity and international build-out) before tapering sharply to 5% of sales by the terminal year, and net working capital intensity is assumed to decline steadily from 12% of sales toward 4% as the business scales.

5.2 Cost of Capital (WACC)

Component	Value
Risk-Free Rate (Rf)	6.95%
Equity Risk Premium (ERP)	7.08%
Beta (β)	1.05
Cost of Equity (Ke)	14.38%
Pre-Tax Cost of Debt	9.68%
Post-Tax Cost of Debt (Kd)	7.36%
Weight of Equity	98.8%
Weight of Debt	1.2%
WACC	14.30%

Source: Company DCF model, WACC Assumptions block. Cost of equity via CAPM ($Ke = Rf + \beta \times ERP$); post-tax cost of debt applies the model's 24% effective tax rate assumption.

Because VBL is now funded almost entirely by equity (98.8% of the capital structure per the model's market-value weights), the WACC of 14.3% sits very close to the standalone cost of equity of 14.4% — the modest debt weighting contributes only a small reduction. This is a meaningfully high discount rate relative to many developed-market consumer staples, reflecting India's higher risk-free rate and equity risk premium, and it is the single most consequential lever in the valuation: a one-percentage-point change in WACC moves the terminal value — and therefore the bulk of enterprise value — by a wide margin, as illustrated in Section 6.

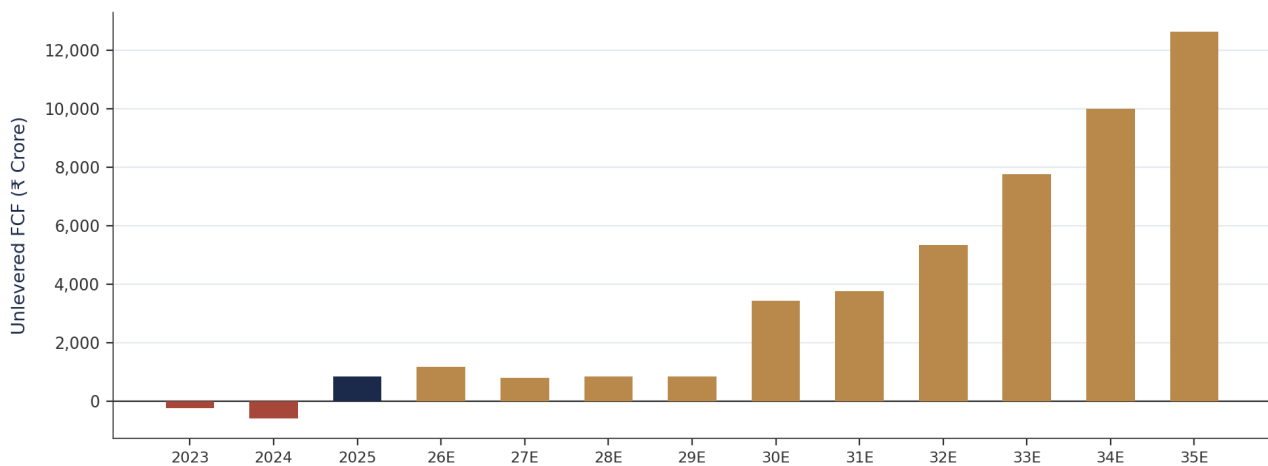
5.3 Terminal Value

Terminal value is calculated on FY35E unlevered free cash flow using a 5.0% perpetuity growth rate, capitalized at $(WACC - g)$ and then discounted back to present value at the FY35E discount factor. On this basis, the (undiscounted) terminal value is approximately ₹1,42,633 crore, with a present value of approximately ₹37,473 crore — meaning the terminal value contributes roughly 68% of total enterprise value, a common feature of DCF models for long-duration growth businesses but one that concentrates valuation risk in a single long-run assumption.

6. DCF Output & Sensitivity

6.1 Free Cash Flow Build

Exhibit 2: Unlevered Free Cash Flow Build, FY23-FY35E

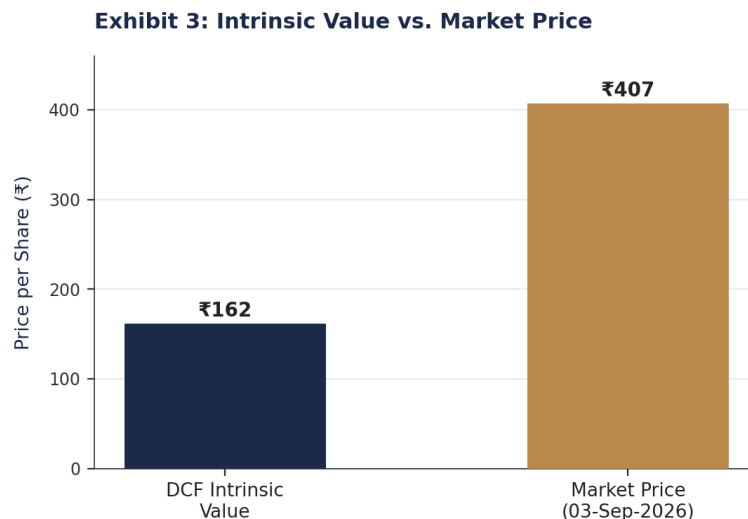


Source: Company DCF model, Free Cash Flow Build worksheet. Negative FCF in CY2023-CY2024 reflects capex and working-capital investment outpacing NOPAT during a period of elevated capacity build-out; FCF turns durably positive from CY2025 as reinvestment intensity moderates relative to a larger earnings base.

6.2 Enterprise Value to Intrinsic Share Price Bridge

₹ Crore, unless noted	Value
Sum of PV of Explicit-Period UFCF (FY26E-FY35E)	17,228
PV of Terminal Value	37,473
Enterprise Value	54,701
Less: Total Debt (CY2025)	(2,024)
Add: Cash & Cash Equivalents (CY2025)	1,998
Equity Value	54,675
Shares Outstanding (Crore)	338.2
Intrinsic Value per Share (₹)	161.7
Market Price, 03-Sep-2026 (₹)	407.0
Margin of Safety	(151.8)%

Source: Company DCF model, Free Cash Flow Build worksheet.



Source: Company DCF model output vs. market close, 3 September 2026.

6.3 Sensitivity to Discount Rate and Terminal Growth

Given that roughly two-thirds of enterprise value is attributable to the terminal period, the model's conclusion is materially sensitive to WACC and terminal growth assumptions. Holding all operating assumptions constant, a 100-basis-point reduction in WACC (to ~13.3%) or a 100-basis-point increase in terminal growth (to ~6.0%) would each raise intrinsic value per share meaningfully, though not by enough on their own to close the gap to the current market price of ₹407 without also revisiting the margin and growth assumptions in Section 5.1 toward the more optimistic end of VBL's historical range (5-year sales CAGR of 27%, for instance, well above the model's long-run assumption). This underscores that the current market price appears to be pricing in either a lower cost of capital, a longer or higher-growth runway, or a higher steady-state margin than the base-case assumptions used here — all of which are plausible given VBL's growth history and the just-extended 2049 bottling agreement, but which this base case has deliberately not assumed in order to preserve a margin of safety in the analysis.

7. Investment Thesis — Bull & Bear Case

7.1 Bull Case

- **Durable, de-risked franchise:** the EBA extension to 2049 and removal of the SPV restriction materially extends the visible life of VBL's core economics and opens a path to diversification.
- **Structural under-penetration:** India's low per-capita beverage consumption relative to global peers implies a long runway for volume growth independent of GDP growth alone.
- **International optionality:** the African and South Asian franchise territories are growing faster than the domestic base and provide a second leg of growth with a long history of successful bolt-on execution.
- **Operating leverage:** a largely fixed distribution and manufacturing base means incremental volume can continue to expand EBITDA margins, as seen over the last decade.
- **Balance-sheet strength:** a deleveraged, equity-funded capital structure gives management flexibility to fund both organic capex and further M&A without meaningful financial risk.

7.2 Bear Case

- **Valuation:** on this model's base-case assumptions, the current market price implies a substantially more optimistic growth, margin, or cost-of-capital scenario than the analyst's base case, leaving limited margin of safety at ₹407.
- **PepsiCo dependency:** VBL's entire economic model rests on a bottling relationship with a single principal; while now extended to 2049, any change in territory, royalty, or franchise terms would flow directly through to VBL's economics.
- **Weather and seasonality:** a meaningful share of annual volume is concentrated in the summer season, making single-year results vulnerable to weather variability, as seen in recent periods.
- **Regulatory and health-policy risk:** sugar taxation, packaging regulation, and public-health measures targeting sugar-sweetened beverages are live policy themes across markets in which VBL operates.
- **Capital intensity:** continued double-digit growth requires sustained high capex (assumed to peak near 18% of sales), which caps near-term free cash flow conversion even as earnings grow.
- **Foreign-currency and country risk:** the African and South Asian territories introduce currency translation and sovereign risk that a purely domestic model would not carry.

8. Risks to the Thesis

Beyond the company-specific bull/bear considerations above, the principal risks to the conclusions in this report are methodological. First, DCF valuations of this kind are highly sensitive to long-dated assumptions (a 10-year explicit forecast plus a terminal value that itself depends on a 25-year-forward perpetuity growth rate) that are inherently difficult to forecast with precision; small changes in WACC or terminal growth produce large changes in implied value, as discussed in Section 6.3. Second, the model relies on margin and growth assumptions set by the analyst rather than sell-side consensus, and reasonable analysts reviewing the same underlying franchise could arrive at materially different explicit-period assumptions, particularly given VBL's own five-year historical growth rate (27%) sits well above the model's long-run assumptions. Third, the analysis is a standalone intrinsic-value estimate and does not incorporate relative valuation (peer trading multiples), which can diverge from DCF-implied value for extended periods, particularly for high-growth compounders where markets may be willing to pay a premium for optionality and execution quality that a base-case DCF does not fully capture.

9. Conclusion

Varun Beverages is a high-quality, well-capitalized operator of a structurally advantaged franchise, underpinned by a newly extended, long-dated bottling agreement with PepsiCo and a genuine runway for continued volume growth in both India and its international territories. On the base-case assumptions used in this model, however, the DCF-derived intrinsic value of approximately ₹161.7 per share sits well below the prevailing market price of ₹407.0, implying the stock is pricing in a more favorable combination of growth, margin, and discount-rate assumptions than this report's base case. Investors who share management's confidence in sustained double-digit growth and margin expansion, and who are comfortable applying a lower discount rate or higher terminal growth assumption than used here, may reasonably arrive at a

higher intrinsic value; this report's conclusion should be read as one data point — grounded in a conservative, explicitly stated set of assumptions — within a broader investment process rather than as a standalone recommendation.

Disclosures & Limitations. This report was prepared independently as a personal valuation exercise using publicly available financial data and the analyst's own assumptions. It is not a research report issued by a SEBI-registered research analyst, is not investment advice, and should not be relied upon as the sole basis for an investment decision. Figures are drawn from the accompanying DCF model and may differ from company-reported figures due to rounding, restatement, or differences in fiscal-period definition. All projections beyond CY2025 are estimates and actual results may differ materially.